Sub-module 5: Marketing and Supply Chain for Managers
Module Purchasing and Supply Management

Johan Larsson, johan.larsson@ju.se

261015

Readings

Gadde, L-E. & Håkansson, H. (1994), ” The changing role of purchasing: reconsidering three
strategic issues”, European Journal of Purchasing and Supply Management, 1(1), pp 27-35

Kraljic, P. (1983), “Purchasing must become supply management”, Harvard Business Review, pp.
109-117

Definitions

Purchasing has been defined as:

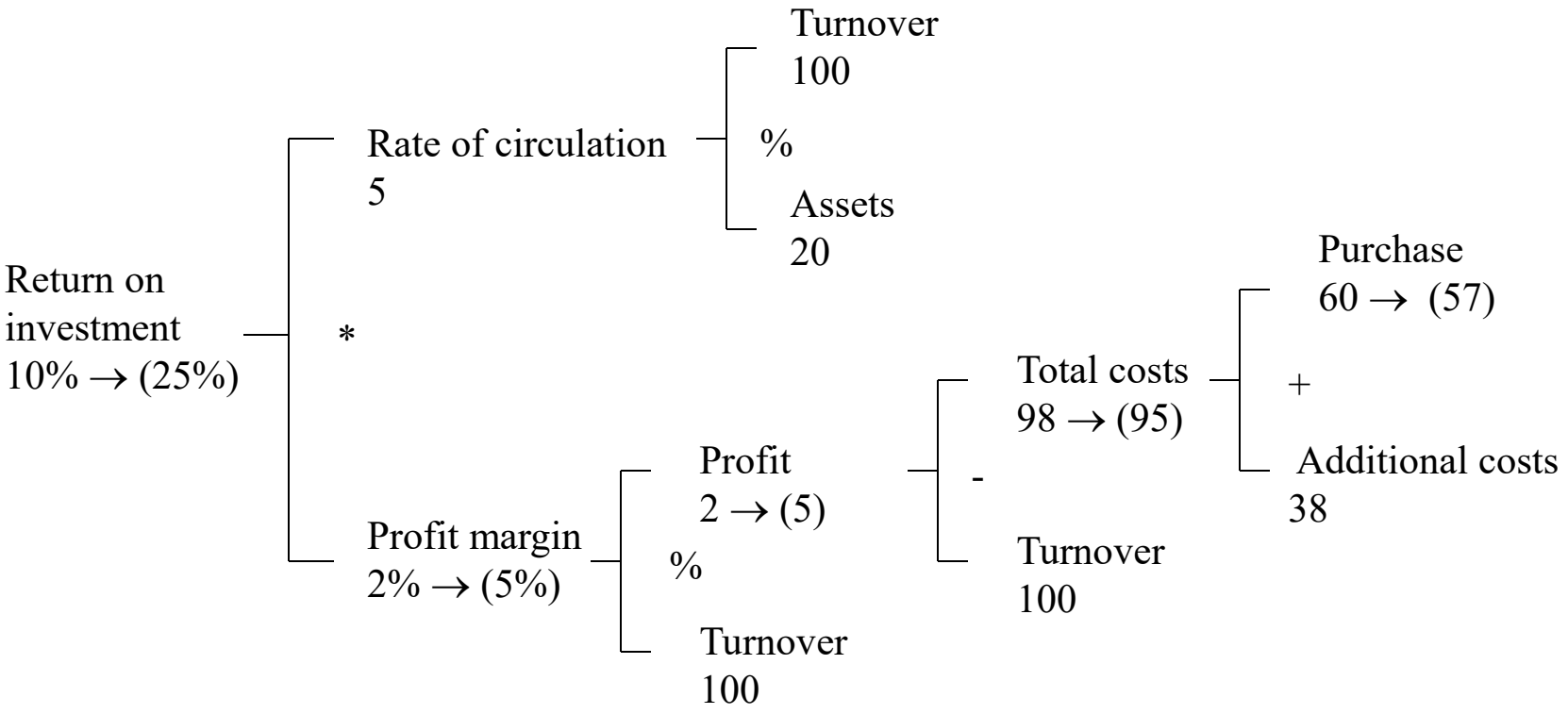
"The management of the company's external resources in such a way that the supply of all goods, services, capabilities and knowledge which are necessary for running, maintaining and managing the company's primary and support activities is secured at the most favourable conditions."

(van Weele, 2005:12)

Another and more simplified definition of purchasing states that purchasing is all activities that render an incoming bill.

(Teigen in Axelsson, 1998)

DU PONT ANALYSIS – THE IMPORTANCE OF PURCHASING



Strategic choices in purchasing

- The scope of supply, i.e. outsourcing or inhouse production – depending on where the added value is highest.
- The level of involvement with suppliers –high or low involvement, close or arms-length relationship
- The configuration of the supplier base, e.g. a portfolio approach.

Core Competence

A core competency is a concept in management theory introduced by C. K. Prahalad and Gary Hamel (1990). It can be defined as "a harmonized combination of multiple resources and skills that distinguish a firm in the marketplace" and therefore are the foundation of companies' competitiveness.

Core competencies fulfill three criteria:

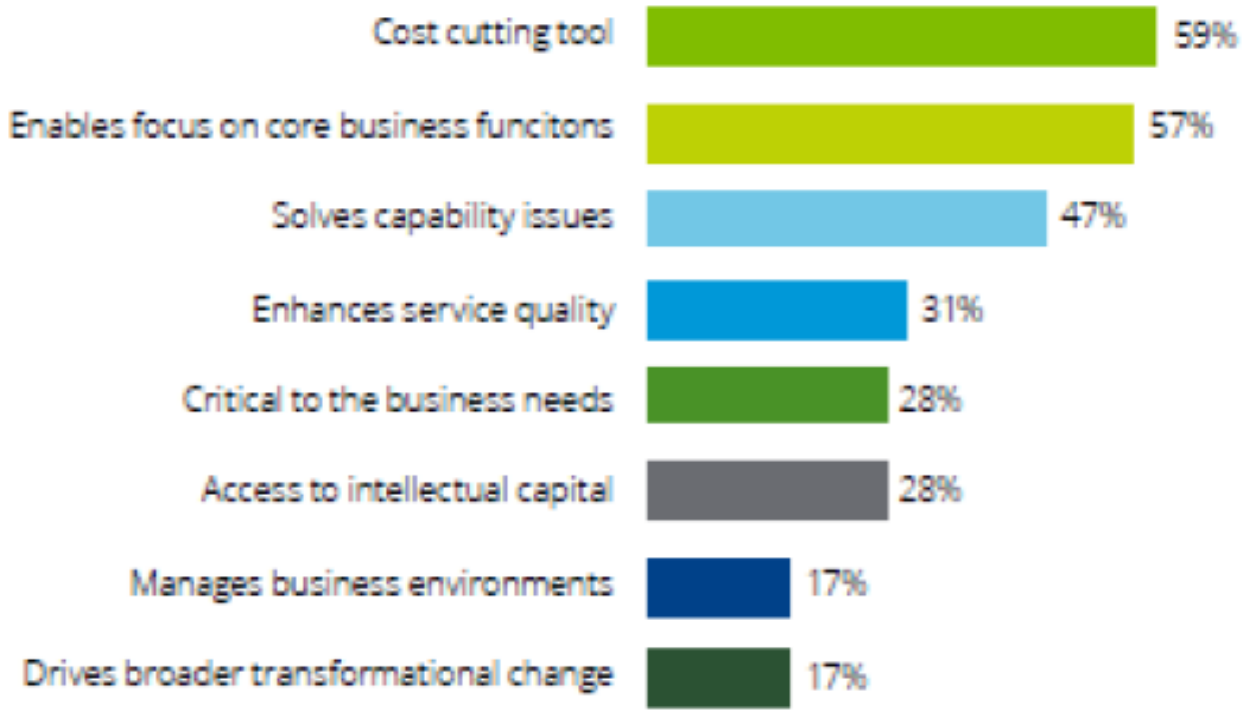
- Provides potential access to a wide variety of markets.
- Should make a significant contribution to the perceived customer benefits of the end product.
- Difficult to imitate by competitors.

Outsourcing

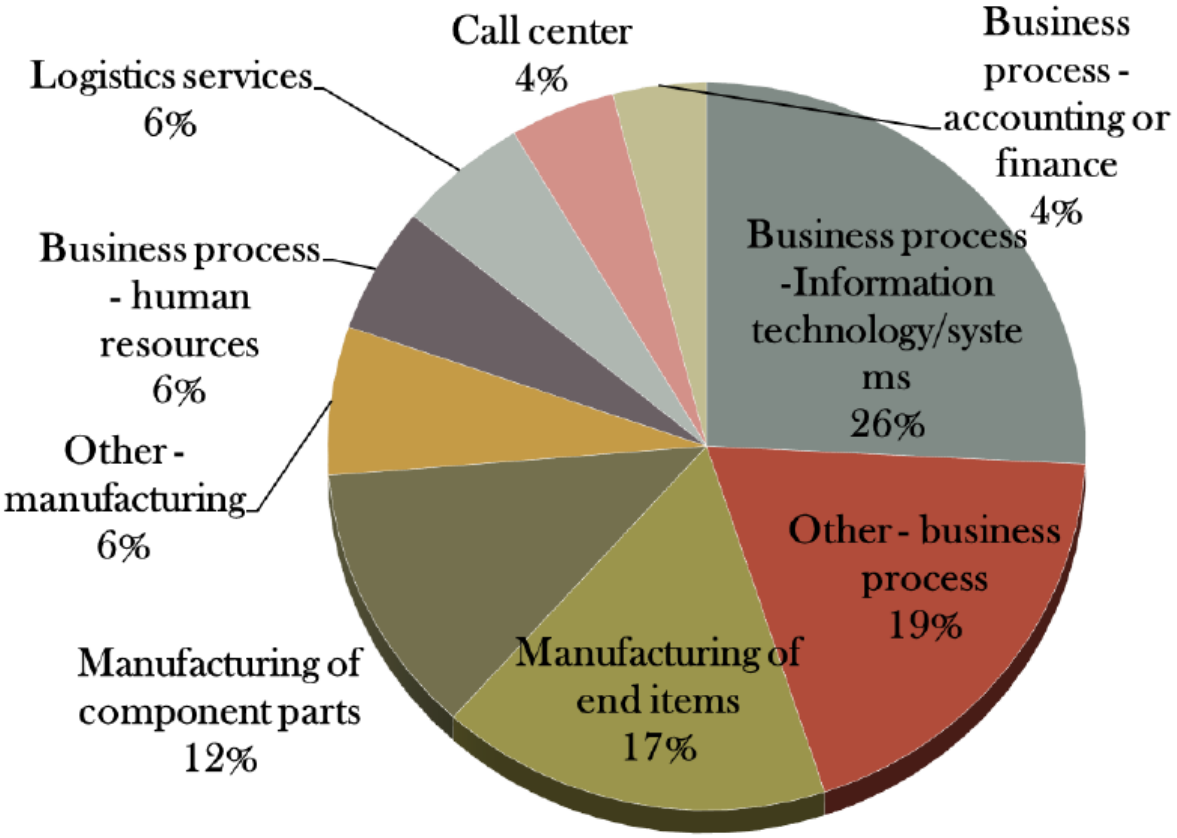
Complete transfer of a business process to an independent external organization

Once the process is outsourced, assets are no longer maintained

Reasons to outsource



Categories of Outsourced Activities



Hidden Costs of Outsourcing

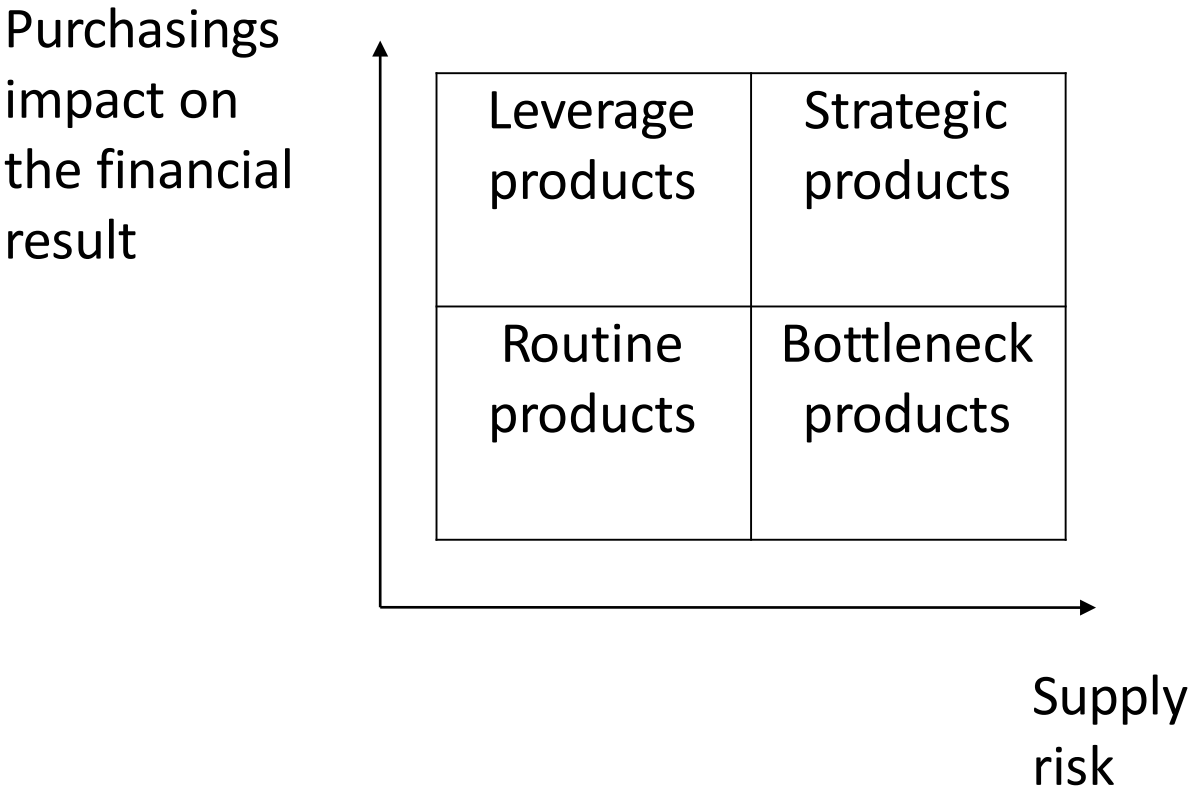
- Quality costs
- Supplier vendor relationship management
- Internal coordination
- Implementation of external sourcing model

Outsourcing – succesful?

- Deloitte (2014) reported that 49 per cent of companies who had outsourced part of their business processes complained about the reactive attitude of their outsourcing partners.

- Deloitte (2014) reported that 48 per cent of these companies (who had outsourced part of their business processes) complained about the poor service quality that they gained from these partners.

Kraljics purchasing matrix



(Kraljic, 1983)

Kraljics purchasing matrix (cont.)

- Routine products, e.g. Office supplies
  - Suggested strategi: rationalisation
- Bottleneck products, e.g. Flavours
  - Suggested strategi: safety stock
- Leverage products, e.g. Rawmaterial and semimanufactured components
  - Suggested strategi: competitive bidding
- Strategic products, e.g. Engines
  - Suggested strategi: partnership



JÖNKÖPING UNIVERSITY

Jönköping International Business School